

## A pre-feasibility study for Establishing of a Tourism Training Institute in Ajloun



2017



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## 1. Executive Summary

The Jordan Investment Commission seeks to develop an integrated strategy to create a conducive environment for the development of local, regional and international investments in various economic sectors. The Commission has been keen to set up an investment map that covers all governorates and includes economic development projects that will be implemented in collaboration with specialized consultants, to ensure a sustainable economic development. An investment map for the Ajloun governorate has been developed, identifying potential small and medium enterprises based on the nature of the area. To the projects are related agriculture, services and tourism in addition to complementary industries to support tourism projects that are environmentally friendly and able to create jobs in the governorate. The idea of the project is to establish a tourism training institute.

The idea was presented to support the youth and provide them with professions to secure their future, and also due to the lack of the northern governorates of similar meaningful projects in the governorate.

**Table 1 Economical Indicators**

| Indicator                                 |           |
|-------------------------------------------|-----------|
| Total Investment Cost (Jordan Dinars)     | 1,224,234 |
| Internal Rate of Return (IRR)             | %26.07    |
| Pay-Back Period (Years)                   | 5         |
| Net Present Value (Jordan Dinars)         | 1,118,237 |
| Job Opportunities provided by the Project | 26        |
| Total Revenues (For 10 Years)             | 8,262,523 |
| Total Operating Expenses (For 10 years)   | 2,279,477 |
| Total Net Profit (For 10 years)           | 2,259,249 |

## Key Highlight of Jordan

Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates.

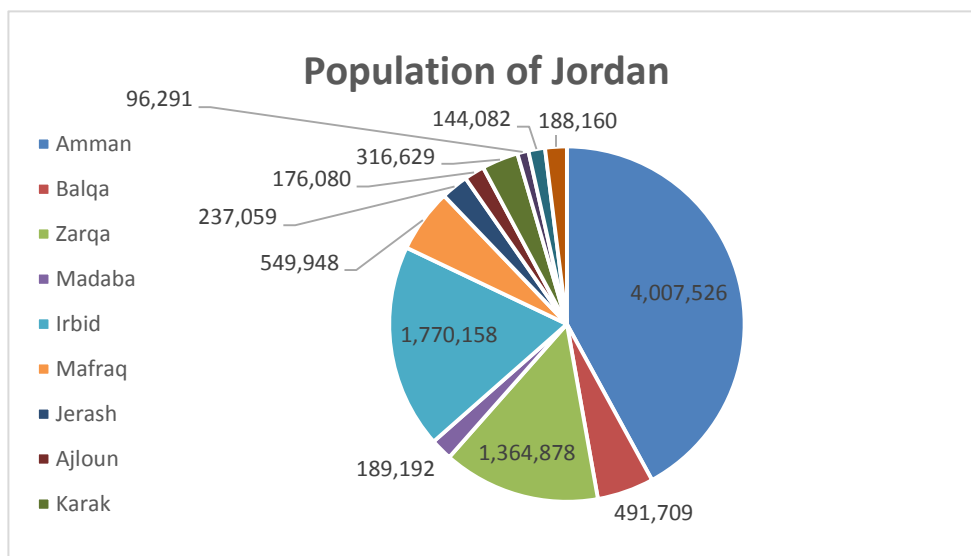
Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

### Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

**Figure 1 Population of Jordan**



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafrq at 208 Thousand and Zarqa at 175 Thousand.



Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

**Table 2 Population Distribution According to Age Group**

| Age Group                 | Population % | Males | Females      |
|---------------------------|--------------|-------|--------------|
| <b>0-14 Years</b>         | %35.04       | %19.2 | <b>%18.2</b> |
| <b>15-64 Years</b>        | %61.02       | %30.7 | <b>%28.6</b> |
| <b>More than 65 Years</b> | %3.94        | %1.6  | <b>%1.6</b>  |

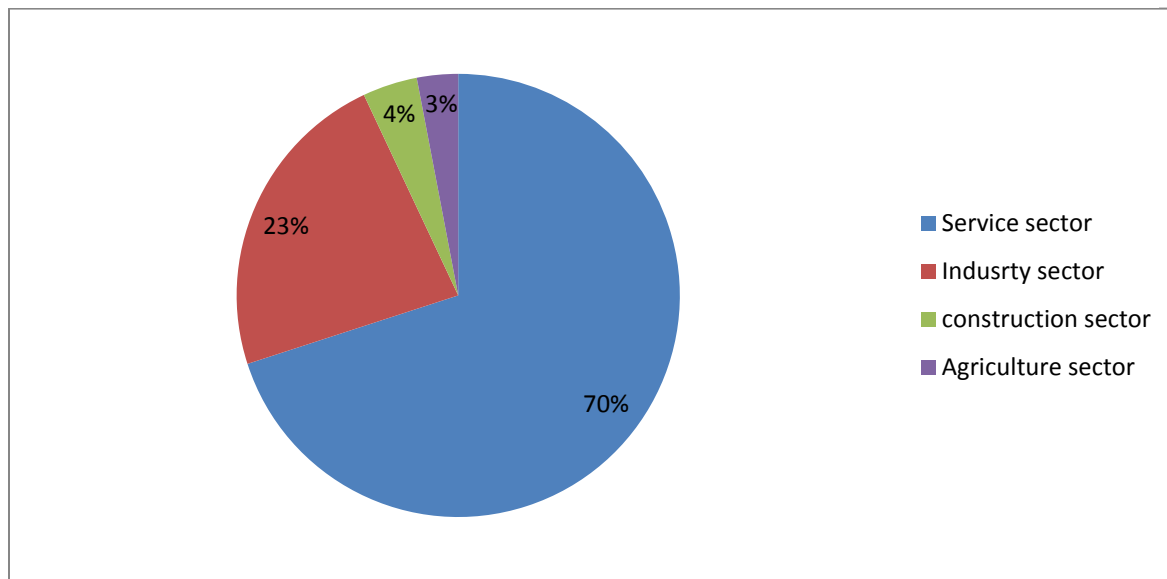
Department of Statistics (DOS), 2015.

### Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision.

**Figure 2 Sectors Contribution to Jordan's Economy**



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US\$3.8 trillion market and comprising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and

medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination.

### Major Economic Indicators

- **GDP Growth**

The Jordanian economy slowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

### **Investment Climate in Jordan**

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

Furthermore, in its endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

### Key National Investment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.
- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.
- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

### The investment environment in Ajloun:

As per in the Investment Law No. 30 of 2014 and the Income Tax Reduction Law in the Less Developed Areas (issued under Article (5) of the Investment Law No. (30) of 2014), the following taxes and exemptions are imposed on investment projects:

**Table 3 Payable Income Tax and Tax Exemptions**

| Development areas | Less developed areas                                                                                                                                                                                        |
|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Income tax is 5%  | Value of income tax 20% According to the divisions in the law, Ajloun governorate is classified as category B where investors get 80% tax exemption on income tax for 20 years from the date of investment. |

## 2. Market Analysis

### Project Description

The idea of the project is to establish a tourism training institute in Ajloun. This institute offers advanced courses (Diploma in Hotel Management and Diploma in Cooking) in addition to the basic courses. It gives graduates certificates accredited by the Ministry of Higher Education, entitling them to work in local and foreign tourism.

The Institute consists of the following:

- **Classrooms**
- **Restaurant Training Lab:** Provides simulation and the opportunity for students to learn and apply food and beverage services, skills and knowledge and proper conduct to ensure professional and efficient services and correct service procedures.
- **Housekeeping Laboratory:** Students learn the principles, skills and procedures of housekeeping, and rooms and public areas cleaning, organization. The also, learn about detergents equipment and machinery, used in housekeeping, in addition to organizing room inventory.
- **Simulation of food production:** Students learn food and beverage production basics, skills and procedures, and are introduced to various modern and classic cooking methods and techniques to prepare diverse and comprehensive menus. Students learn in this simulation about food cost, preparation of menus, initial preparations and catering and decorating. Students learn the culinary arts in an ideal learning environment which enables them to develop innovative work ethics, leadership and teamwork.
- **Computer Labs:** The proposed project contains two computer labs, and each lab contains 30 computers and a projector.
- **(Kitchen) Theater training:** this theater will be equipped with all necessary equipment to facilitate the food and desserts production cycles. This theater accommodates 35 students and provides opportunities for students to learn the practical aspects of food production and the art of ornamentation. In this theater lessons from international cuisines will be given and speakers from the tourism and hotel sectors will be hosted.
- **Cafeteria:** provides students with food and a place to rest.

## Project Objectives

The objectives of the project are:

- Achieve profitable returns for those who are in charge of the project.
- Provide an opportunity for young people who did not successfully pass high school to learn a profession and secure their future.
- Provide a high-level of formatted and coached staff.

## The Proposed Service

The services provided by the proposed project are as follows:

### 1. Advanced courses:

- **Training diploma in culinary arts:** Students are introduced to practical applications in the art of cooking, and health and food safety principles and procedures. Students also learn about kitchen planning and fitting, the equipment and tools used, and gain skills and knowledge in the art of Western and Eastern cuisines and the preparation of hot and cold dishes and sweets.

The total number of school hours is (528 hours) practical and theoretical, as well as 200 hours of training in hotels after the training course at the institute divided over a period of eight months (seven months theory + practical / and a month of field training in a hotel divided into (80 %) practical and (20%) theoretical).

- **Training Diploma in Hotel Management:** introduces students to the concepts and principles of hotel management and mastery of the basic principles in dealing with guests and provision of hotel services inside the hotel. It also introduces students to the application of hospitality concepts relating to administrative and technical work in hotels.

The total number of school hours are 528 hours (practical and theoretical) as well as 400 hours of hotel training after the training course in the institute, divided over a period of eight months (six months theory + practical / and two months of field training in hotel divided into (80 %) practical and (20%) theoretical).

### 2. Basic courses:

- **Short Courses:** There are many (30) hour short courses.

### Target Segments

The target segments of the proposed project will be the northern governorates in particular and other governorates generally described as follows:

- People who want to delve deeper into this area of working in the hotel sector or who wants to take on administrative and technical roles the hotel market and deal with guests in the right ways.
- Youth who did not successfully pass high school are given an opportunity to learn a profession to help them secure their future.
- Unemployed individuals who are unable to find jobs in their specialties.

### Market Size Analysis

The project will target the local market. An analysis of the market size was carried out as:

The following table shows the people working in the hotel business, who will also be offered courses to increase their knowledge in the field.

**Table 3 Number of Workers in Hotels and Restaurants**

|                                                | 2014   | 2015   | 2016   |
|------------------------------------------------|--------|--------|--------|
| <b>Number of workers in restaurants hotels</b> | 3,8000 | 38,566 | 39,381 |

Source: Ministry of Tourism and Antiquities

The following table shows the number of unemployed people in the north provinces:

**Table 4 Number of Unemployed Individuals in the Governorates of the North**

|                               | Jerash | Ajloun | Irbid  | Al Mafrq |
|-------------------------------|--------|--------|--------|----------|
| <b>Unemployed individuals</b> | 5,951  | 5,606  | 45,684 | 13,410   |

Department of Statistics - Unemployment Survey For (2015)

The number of applicants for high school general exams in 2016 was (130,710) and the number of students who passed the exams successfully (55,483), which indicates that the failure rate is (58%).



## Competitor Analysis

The competitors of the proposed project are:

- Amon Applied University in the capital: provides a bachelor's degree in hotel management, as well as long and short courses, in addition to a diploma in hotel management and a diploma in the art of cooking.
- A specialized institute for hotel training in Madaba.
- Vocational Training Corporation.

## Project Capacity

**Table 5 Project Capacity**

| Project Capacity                               | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 |
|------------------------------------------------|------|------|------|------|------|------|------|------|------|------|
| The capacity of the session - basic courses    | 40   | 40   | 40   | 40   | 40   | 40   | 40   | 40   | 40   | 40   |
| The capacity of the session - advanced courses | 80   | 80   | 80   | 80   | 80   | 80   | 80   | 80   | 80   | 80   |
| Number of basic courses                        | 32   | 32   | 32   | 48   | 48   | 48   | 48   | 52   | 52   | 52   |
| Number of advanced courses                     | 2    | 2    | 2    | 3    | 3    | 3    | 3    | 3    | 3    | 3    |

## Expected occupancy

The following table shows the expected occupancy of the proposed project:

**Table 6 Projected Occupancy Rate**

|                          | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 |
|--------------------------|------|------|------|------|------|------|------|------|------|------|
| Fundamental session rate | 75%  | 75%  | 75%  | 75%  | 75%  | 75%  | 75%  | 75%  | 75%  | 75%  |
| Advanced session rate    | 85%  | 85%  | 85%  | 85%  | 85%  | 85%  | 85%  | 85%  | 85%  | 85%  |

## Price Analysis and Pricing Policy

The following table shows the prices proposed for the services provided by the project:

**Table 7 Proposed Prices**

| Proposed prices                             | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 |
|---------------------------------------------|------|------|------|------|------|------|------|------|------|------|
| Price Session per person - basic courses    | 300  | 309  | 318  | 328  | 338  | 348  | 358  | 369  | 380  | 391  |
| Price Session per person - advanced courses | 1700 | 1751 | 1804 | 1858 | 1913 | 1971 | 2030 | 2091 | 2154 | 2218 |

Source: The average price of existing institutes.

## Projected Revenues

**Table 8 Projected Revenues**

|          | 2018   | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | 2025    | 2026    | 2027    |
|----------|--------|--------|--------|--------|--------|--------|--------|---------|---------|---------|
| Revenues | 519200 | 534776 | 550819 | 851016 | 876546 | 902843 | 929928 | 1002101 | 1032164 | 1063129 |

### 3. Technical Analysis

#### Required Human Resources

Table 9 Required labor for the project

| Job title                     | No.       |
|-------------------------------|-----------|
| <b>Indirect staff</b>         |           |
| General manager               | 1         |
| Labs supervisors              | 2         |
| Application coordinators      | 8         |
| Teachers                      | 2         |
| Accountant                    | 2         |
| Receptionist                  | 1         |
| Maintenance                   | 1         |
| Reporter                      | 1         |
| Guard                         | 2         |
| <b>Total Non-Direct staff</b> | <b>20</b> |
| <b>Chef</b>                   | <b>2</b>  |
| <b>Catering expert</b>        | <b>2</b>  |
| <b>Nutritionist</b>           | <b>2</b>  |
| <b>Total Direct staff</b>     | <b>6</b>  |
| <b>Total</b>                  | <b>26</b> |

#### Job Description:

**General Manager:** proposes the general policy of the institute, prepares plans and follows up on their implementation, undertakes technical and administrative supervision of staff, and development of procedures and ensures that occupational health and safety requirements are met.

**Students Affairs Coordinators:** oversee everything related to students (registration, payment, etc.)

**Laboratory Supervisor:** supervision of laboratory equipment.

**Lecturers:** An English teacher for students to teach them methods of information exchange and communication skills

**Receptionist:** receives guests in a professional manner and attends to their request as well as receive and refer daily phone calls to and from the center.

**Maintenance staff:** to maintain a periodic maintenance of all equipment and devices at the Institute to ensure its work properly.

**Accountant:** applying the institute's accounting system, and ensuring accuracy, and the proper functioning of financial documents cycle, prepare the final accounts for the periodic financial reports, manage, coordinate and follow up on the implementation of plans and systems of accounting and financial procedures and the issuance of financial reports and monitor and control expenses resources of the Institute and make sure to use the correct usage of the appropriate budget financial plans, and develop and submit recommendations to the general manager.

**Guard:** maintain the security in the institute.

**Reporter:** submit applications for staff and visitors and maintain the machines and tools and use the best and without wasting resources.

**Chef:** prepares and cooks meat, chicken, vegetables or roasts meat, fish and other foods and the prepare dishes in the menu, soups, sauces, cold appetizers, hot pies, desserts. The main function in the project is to teach students all of the above.

**Catering Expert:** expert in modern and proper catering to customers.

**Nutritionist:** Assure quality and food safety standards.

### Site Analysis

The proposed location for the project is near Ajloun National University.

### Technical Requirements Analysis

#### 1.1.1 Land and Construction

The project will be constructed on an area of 4000 sq.m. The following table shows the needed land:

**Table10 Required Land for the Project**

| Land              | Cost (JD/sq.m) | Area sq.m |
|-------------------|----------------|-----------|
| The required land | 10             | 4000      |

Source: Land registration – Ajloun

The following table shows the required construction work for the project:

**Table 11 Required Construction Work**

| Construction Work     | Area (m <sup>2</sup> ) |
|-----------------------|------------------------|
| Buildings             | 2,000                  |
| Design and blueprints | 4,000                  |
| Digging               | 1,500                  |
| Paving the ground     | 500                    |
| Soil examination      | -                      |

#### **Machinery and Equipment**

The following table shows the required machinery and equipment needed for the project:

**Table 12 Machinery and Equipment**

| Machinery and Equipment | Quantity |
|-------------------------|----------|
| Central air conditioner | 1        |
| Computers               | 40       |
| Datashow                | 12       |

#### **Furniture**

The following table shows furniture needed for the project:

**Table 13 Required Furniture**

| Furniture             | No. |
|-----------------------|-----|
| Training classrooms   | 12  |
| Training resturents   | 2   |
| Training Theater      | 2   |
| Cafeteria             | 1   |
| Adminstration offices | 14  |
| Admistration seats    | 14  |
| Reception             | 1   |

#### 4. Financial Analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses ( Fixed and Variable costs) followed by illustrating project revenues.

##### Assumptions

##### Calculation Assumptions:

- The weighted average cost of capital used in the study is 12.81% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Income tax on the net project income is 5 % during the life time of the project.
- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

## Assumptions

**Table 14 General Assumptions**

| General Information                   |               |
|---------------------------------------|---------------|
| All Financial Numbers (Currency)      | Jordan Dinars |
| Financial Study Time Span (Years)     | 10            |
| Expected Project First Operating Year | 2018          |
| Last Year in the Financial Study      | 2027          |

**Table 15 Currency Exchange Rates**

| Exchange Rates  | Jordan Dinars |
|-----------------|---------------|
| American Dollar | 0.708         |
| Euro            | 0.760         |

**Table 16 Annual Growth Rates Assumptions**

| Annual Growth Rates                        | Average |
|--------------------------------------------|---------|
| Annual Population Growth Rate              | 2.20%   |
| Annual Sales Price Increase Rate           | 3.00%   |
| Annual Expenses Increase Rate              | 3.00%   |
| Annual Increase Rate in Employees Salaries | 4.1%    |

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

**Table 17 Expenses Assumptions**

| Expenses Assumptions                       |        |
|--------------------------------------------|--------|
| Utilities Expenses from Total Revenues     | 10.00% |
| Maintenance Expenses from Total Revenues   | 1.00%  |
| Depreciation Expenses from Total Revenues  | 1.00%  |
| Insurance Expenses from Total Assets Value | 0.50%  |
| Marketing Expenses from Total Revenues     | 5.00%  |

**Table 18 Income Tax Assumptions**

| Income Tax Assumptions                                                          | Value |
|---------------------------------------------------------------------------------|-------|
| Average Income Tax in Jordan(1)                                                 | 5%    |
| Income Tax Deduction(2)                                                         | 0%    |
| Income Tax after Deduction                                                      | 5%    |
| Compulsary Reserve Percentage(3)                                                | 10%   |
| Other Assumptions                                                               |       |
| Annual Monthly Salaries have been calculated after multiplying monthly salaries | 16    |

| Risk Premium                 |        |
|------------------------------|--------|
| Risk Free Rate of Return (1) | 6.50%  |
| Return to Debt Maturity (2)  | 9.48%  |
| Market Risk Premium (3)      | 10.12% |
| Income Tax Rate              | 5.00%  |
| Beta (4)                     | 1      |
| Risk Premium                 | 4.00%  |

(1) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(2) Source :Central Bank of Jordan

(3) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(4) Source :Damodoran Beta By Sector, , pages.stern.nyu.edu

**Table 19 : Weighted Average Cost of Capital**

| Weighted Average Cost of Capital       |           |
|----------------------------------------|-----------|
| Average Return on Risk Free Investment | %6.50     |
| Return to Debt Maturity                | %9.48     |
| Market Risk Premium                    | %10.12    |
| Income Tax Rate                        | %5        |
| Bets                                   | 1.00      |
| Equity                                 | 612,117   |
| Loans Value                            | 612,117   |
| Loans                                  |           |
| Cost of Borrowing before Tax           | %9.48     |
| Cost of Borrowing After Tax            | %9.01     |
| Loans Value                            | 612,117   |
| Loans Percentage                       | %50       |
| Equity                                 |           |
| Cost of Equity                         | %16.6     |
| Equity Value                           | 612,117   |
| Equity Percentage                      | %50       |
| Gross                                  |           |
| Project Value                          | 1,224,234 |
| Proportion of the project              | %100      |
| Weighted Average Cost of Capital       | %12.81    |



### Capital Expenditures

The estimated cost of the project is 1,224,234 JD and it covers land costs, construction works, machinery and equipment, furniture, pre-operating expenses and working capital. The following tables summarize the details of these expenses:

**Table 20 Land Capital Expenditure**

| Land          | (Jordan Dinar/Meters Square) | Cost | Area (M2) | Cost          |
|---------------|------------------------------|------|-----------|---------------|
| Required Land | 10                           |      | 4,000     | 40,000        |
| Cost          |                              |      |           | <b>40,000</b> |

**Table 21 Construction Work Capital Expenditure**

| Description           | Cost (JOD per Squared Meters) | Area (Squared Meters) | Gross Cost Jordan / |
|-----------------------|-------------------------------|-----------------------|---------------------|
| Buildings             | 350                           | 2,000                 | 700,000             |
| Design and blueprints | 7                             | 4,000                 | 28,000              |
| Digging               | 6                             | 1,500                 | 9,000               |
| Paving the ground     | 12                            | 500                   | 6,000               |
| Soil examination      | -                             | -                     | 200                 |
| Other work            | -                             | -                     | 74,320              |
|                       |                               |                       | <b>817,520</b>      |
| <b>Total</b>          | <b>350</b>                    | <b>2,000</b>          | <b>700,000</b>      |

**Table 22 Machinery and Equipment Capital Expenditure**

| Machinery and equipment | Quantity | Cost / JD | Total Cost    |
|-------------------------|----------|-----------|---------------|
| Central air conditioner | 1        | 25,000    | 25,000        |
| Computers               | 40       | 400       | 16,000        |
| Datashow                | 12       | 300       | 3,600         |
| Other                   | -        | -         | 15,000        |
| <b>Total (JD)</b>       |          |           | <b>59,600</b> |

**Table 23 Furniture Capital Expenditure**

| Furniture and furnishings | Quantity | Cost / JD | Total Cost |
|---------------------------|----------|-----------|------------|
| Training classrooms       | 12       | 1,000     | 12,000     |
| Training resturents       | 2        | 2,000     | 4,000      |
| Training Theater          | 2        | 35,000    | 70,000     |
| Cafeteria                 | 1        | 1,000     | 1,000      |

|                        |    |       |               |
|------------------------|----|-------|---------------|
| Administration offices | 14 | 200   | 2,800         |
| Administration seats   | 14 | 75    | 1,050         |
| Reception              | 1  | 1,000 | 1,000         |
| <b>Total</b>           |    |       | <b>91,850</b> |

**Table 24 Pre Operating Expenses**

| Pre-operating expenses | Estimated cost (JD) |
|------------------------|---------------------|
| Governmental fees      | 2,000               |
| Transportation         | 800                 |
| Marketing              | 1,500               |
| Training               | 2,500               |
| <b>Total</b>           | <b>6800</b>         |

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

**Table 25 Working Capital**

| Working Capital                     | No. of Months | %   | Estimated Cost (JD) |
|-------------------------------------|---------------|-----|---------------------|
| Operating expenses                  | 3             | %25 | 41,774              |
| General and administrative expenses | 3             | %25 | 3,506               |
| Marketing expenses                  | 3             | %25 | 6,490               |
| Indirect Salaries                   | 3             | %25 | 45,400              |
| <b>Total</b>                        |               |     | <b>97,170</b>       |

**Table 26 Expenses Summary**

| Capital expenditure summary | Cost (JD)        | Contingency | Cost (JD)        | %           |
|-----------------------------|------------------|-------------|------------------|-------------|
| Land                        | 40,000           | 10%         | 44,000           | %3.6        |
| Construction works          | 817,520          | 10%         | 899,272          | %73.5       |
| Machinery & Equipment       | 59,600           | 10%         | 65,560           | %5.4        |
| Furniture                   | 91,850           | 10%         | 101,035          | %8.3        |
| Pre-Operating Expenses      | 6,800            | 10%         | 7,480            | %0.6        |
| Working capital             | 97,170           | 10%         | 106,887          | %8.7        |
| <b>Total (JD)</b>           | <b>1,112,940</b> |             | <b>1,224,234</b> | <b>100%</b> |

### Sources of Funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (1,224,234) JD, where 50% of the project will be financed through loans (612,117) JD, and the remaining (50%) through (Equity) with (612,117) JD. The following table summarizes the general structure of the required financing:

**Table 27 Sources of Funding**

| Funding Sources         | Amount    | Percentage |
|-------------------------|-----------|------------|
| Equity (Self Financing) | 612,117   | %50        |
| Loans                   | 612,117   | %50        |
| Total                   | 1,224,234 | %100       |
| Use of Fund             | Value     | Ratio      |
| Capital Expenditures    | 1,109,867 | %90.66     |
| Pre-Operating Expenses  | 7,480     | %0.61      |
| Working Capital         | 106,887   | %8.73      |
| Total                   | 1,224,234 | %100.00    |

## Operating Expenses

The following table summarizes the expected operating expenses for the proposed project (2018-2027):

**Table 28 Operating Expenses**

| Description      | 2018           | 2019           | 2020           | 2021           | 2022           | 2023           | 2024           | 2025           | 2026           | 2027           |
|------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| Utilities from   | 51,920         | 53,478         | 55,082         | 85,102         | 87,655         | 90,284         | 92,993         | 100,210        | 103,216        | 106,313        |
| Maintenance from | 5,192          | 5,348          | 5,508          | 8,510          | 8,765          | 9,028          | 9,299          | 10,021         | 10,322         | 10,631         |
| Disposables from | 5,192          | 5,348          | 5,508          | 8,510          | 8,765          | 9,028          | 9,299          | 10,021         | 10,322         | 10,631         |
| Direct Salaries  | 89,600         | 93,274         | 97,098         | 101,079        | 105,223        | 109,537        | 114,028        | 118,703        | 123,570        | 128,637        |
| Others           | 15,190         | 15,745         | 16,320         | 20,320         | 21,041         | 21,788         | 22,562         | 23,896         | 24,743         | 25,621         |
| <b>Total</b>     | <b>167,094</b> | <b>173,191</b> | <b>179,516</b> | <b>223,521</b> | <b>231,449</b> | <b>239,666</b> | <b>248,182</b> | <b>262,851</b> | <b>272,173</b> | <b>281,833</b> |

## General and Administrative Expenses

The following table summarizes the expected general and administrative expenses for the proposed project (2018-2027):

**Table 29 General and Administrative Expenses**

| Description             | 2018  | 2019  | 2020  | 2021  | 2022  | 2023  | 2024  | 2025  | 2026  | 2027  |
|-------------------------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
| Telecom                 | 3,600 | 3,708 | 3,819 | 3,934 | 4,052 | 4,173 | 4,299 | 4,428 | 4,560 | 4,697 |
| Hospitality             | 1,200 | 1,236 | 1,273 | 1,311 | 1,351 | 1,391 | 1,433 | 1,476 | 1,520 | 1,566 |
| Stationary and Printing | 1,200 | 1,236 | 1,273 | 1,311 | 1,351 | 1,391 | 1,433 | 1,476 | 1,520 | 1,566 |

| Description   | 2018   | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | 2025   | 2026   | 2027   |
|---------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Transportaton | 1,200  | 1,236  | 1,273  | 1,311  | 1,351  | 1,391  | 1,433  | 1,476  | 1,520  | 1,566  |
| Insurance     | 5,549  | 5,716  | 5,887  | 6,064  | 6,246  | 6,433  | 6,626  | 6,825  | 7,030  | 7,241  |
| Miscellaneous | 1,275  | 1,313  | 1,353  | 1,393  | 1,435  | 1,478  | 1,522  | 1,568  | 1,615  | 1,663  |
| Total         | 14,024 | 14,445 | 14,878 | 15,325 | 15,784 | 16,258 | 16,746 | 17,248 | 17,766 | 18,298 |

### Marketing Expenses

Table 30 Marketing Expenses

| Description        | 2018   | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | 2025   | 2026   | 2027   |
|--------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Marketing Expenses | 25,960 | 26,739 | 27,541 | 42,551 | 43,827 | 45,142 | 46,496 | 50,105 | 51,608 | 53,156 |

### Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance,... etc.

The following table summerizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table 31 Expected monthly salaries (2018-2027)

| Job title       | 2018  | 2019  | 2020  | 2021  | 2022  | 2023  | 2024  | 2025  | 2026  | 2027  |
|-----------------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
| Indirect staff  |       |       |       |       |       |       |       |       |       |       |
| General manager | 2,500 | 2,603 | 2,709 | 2,820 | 2,936 | 3,056 | 3,182 | 3,312 | 3,448 | 3,589 |

|                          |       |       |       |       |       |       |       |       |       |       |
|--------------------------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
| Accountant               | 700   | 729   | 759   | 790   | 822   | 856   | 891   | 927   | 965   | 1,005 |
| Reporter                 | 250   | 260   | 271   | 282   | 294   | 306   | 318   | 331   | 345   | 359   |
| maintenance              | 350   | 364   | 379   | 395   | 411   | 428   | 445   | 464   | 483   | 502   |
| Receptionist             | 350   | 364   | 379   | 395   | 411   | 428   | 445   | 464   | 483   | 502   |
| guard                    | 350   | 364   | 379   | 395   | 411   | 428   | 445   | 464   | 483   | 502   |
| Labs supervisors         | 650   | 677   | 704   | 733   | 763   | 795   | 827   | 861   | 896   | 933   |
| Application coordinators | 450   | 468   | 488   | 508   | 528   | 550   | 573   | 596   | 621   | 646   |
| Teachers                 | 450   | 468   | 488   | 508   | 528   | 550   | 573   | 596   | 621   | 646   |
| Direct staff             |       |       |       |       |       |       |       |       |       |       |
| Chef                     | 1,000 | 1,041 | 1,084 | 1,128 | 1,174 | 1,223 | 1,273 | 1,325 | 1,379 | 1,436 |
| Catering expert          | 1,000 | 1,041 | 1,084 | 1,128 | 1,174 | 1,223 | 1,273 | 1,325 | 1,379 | 1,436 |
| Expert in nutrition      | 800   | 833   | 867   | 902   | 939   | 978   | 1,018 | 1,060 | 1,103 | 1,149 |

Table 31 Annual Expected Salaries

| Job title       | 2018   | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | 2025   | 2026   | 2027   |
|-----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Indirect staff  |        |        |        |        |        |        |        |        |        |        |
| General manager | 40,000 | 41,640 | 43,347 | 45,124 | 46,975 | 48,901 | 50,905 | 52,993 | 55,165 | 57,427 |
| Accountant      | 22,400 | 23,318 | 24,274 | 25,270 | 26,306 | 27,384 | 28,507 | 29,676 | 30,893 | 32,159 |
| Reporter        | 4,000  | 4,164  | 4,335  | 4,512  | 4,697  | 4,890  | 5,091  | 5,299  | 5,517  | 5,743  |
| maintenance     | 5,600  | 5,830  | 6,069  | 6,317  | 6,576  | 6,846  | 7,127  | 7,419  | 7,723  | 8,040  |

| Job title                | 2018           | 2019           | 2020           | 2021           | 2022           | 2023           | 2024           | 2025           | 2026           | 2027           |
|--------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| Receptionist             | 5,600          | 5,830          | 6,069          | 6,317          | 6,576          | 6,846          | 7,127          | 7,419          | 7,723          | 8,040          |
| guard                    | 11,200         | 11,659         | 12,137         | 12,635         | 13,153         | 13,692         | 14,254         | 14,838         | 15,446         | 16,080         |
| Labs supervisors         | 20,800         | 21,653         | 22,541         | 23,465         | 24,427         | 25,428         | 26,471         | 27,556         | 28,686         | 29,862         |
| Application coordinators | 57,600         | 59,962         | 62,420         | 64,979         | 67,643         | 70,417         | 73,304         | 76,309         | 79,438         | 82,695         |
| Teachers                 | 14,400         | 14,990         | 15,605         | 16,245         | 16,911         | 17,604         | 18,326         | 19,077         | 19,860         | 20,674         |
| <b>Total Indirect</b>    | <b>181,600</b> | <b>189,046</b> | <b>196,796</b> | <b>204,865</b> | <b>213,265</b> | <b>222,008</b> | <b>231,111</b> | <b>240,586</b> | <b>250,450</b> | <b>260,719</b> |
| <b>Direct staff</b>      |                |                |                |                |                |                |                |                |                |                |
| General manager          | 32,000         | 33,312         | 34,678         | 36,100         | 37,580         | 39,120         | 40,724         | 42,394         | 44,132         | 45,942         |
| Accountant               | 32,000         | 33,312         | 34,678         | 36,100         | 37,580         | 39,120         | 40,724         | 42,394         | 44,132         | 45,942         |
| Reporter                 | 25,600         | 26,650         | 27,742         | 28,880         | 30,064         | 31,296         | 32,579         | 33,915         | 35,306         | 36,753         |
| <b>Total Direct</b>      | <b>89,600</b>  | <b>93,274</b>  | <b>97,098</b>  | <b>101,079</b> | <b>105,223</b> | <b>109,537</b> | <b>114,028</b> | <b>118,703</b> | <b>123,570</b> | <b>128,637</b> |
| <b>Grand Total</b>       | <b>271,200</b> | <b>282,319</b> | <b>293,894</b> | <b>305,944</b> | <b>318,488</b> | <b>331,546</b> | <b>345,139</b> | <b>359,290</b> | <b>374,021</b> | <b>389,355</b> |

## Depreciations

The following tables illustrate cost of Capex and Depreciation rates:

**Table 32 Capex and Depreciation Expenses**

| Capex Cost and Annual Depreciation Rates | Cost (JOD) | Depreciation Rate | Annual Additions Percentage |
|------------------------------------------|------------|-------------------|-----------------------------|
| Land                                     | 44,000     | %0.0              | %0.0                        |
| Construction Works                       | 899,272    | %5.0              | %0.0                        |

|             |           |       |      |
|-------------|-----------|-------|------|
| Machinaries | 65,560    | %10.0 | %2.0 |
| Furniture   | 101,035   | %10.0 | %5.0 |
|             | 1,109,867 |       |      |

Table 33 Depreciations and Additions on Construction Works

| Capex, Annual Additions and Depreciations | 2018      | 2019      | 2020      | 2021      | 2022      | 2023      | 2024      | 2025      | 2026      | 2027      |
|-------------------------------------------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
| Total Fixed Assets                        | 1,109,867 | 1,116,230 | 1,122,872 | 1,129,805 | 1,137,045 | 1,144,605 | 1,152,500 | 1,160,746 | 1,169,361 | 1,178,361 |
| Total Depreciation Expenses               | 61,623    | 62,259    | 62,924    | 63,617    | 64,341    | 65,097    | 65,886    | 66,711    | 67,572    | 68,472    |
| Total Accumulated Depreciation            | 61,623    | 123,882   | 186,806   | 250,423   | 314,764   | 379,861   | 445,747   | 512,458   | 580,031   | 648,503   |
| Total Additions                           | 0         | 6,363     | 6,642     | 6,934     | 7,239     | 7,560     | 7,895     | 8,246     | 8,614     | 9,000     |
| Total Net Book Values                     | 1,048,244 | 992,347   | 936,066   | 879,382   | 822,281   | 764,744   | 706,753   | 648,288   | 589,330   | 529,858   |

## Loan

The table below summarizes all details related to the loan such as annual installments and payment methods for the remaining amount of the loan for each year of the project.

Table 34 Loan Details

|                           |         |
|---------------------------|---------|
| Loan Value                | 612,117 |
| Annual interest           | 9.48%   |
| Loan Term                 | 5       |
| The grace period          | 1       |
| The beginning of the loan | 2018    |



## Number of Payments

5

| Year | Annual Payment | Interest | Capital | Loan Remaining Value |
|------|----------------|----------|---------|----------------------|
| 2018 |                |          |         | 612,117              |
| 2019 | 159,335        | 58,029   | 101,307 | 510,810              |
| 2020 | 159,335        | 48,425   | 110,911 | 399,899              |
| 2021 | 159,335        | 37,910   | 121,425 | 278,474              |
| 2022 | 159,335        | 26,399   | 132,936 | 145,538              |
| 2023 | 159,335        | 13,797   | 145,538 | 0                    |

## Income Statement

Table 35 Income Statement

| Description              | 2018     | 2019     | 2020     | 2021     | 2022     | 2023     | 2024     | 2025      | 2026      | 2027      |
|--------------------------|----------|----------|----------|----------|----------|----------|----------|-----------|-----------|-----------|
| <b>Revenues</b>          |          |          |          |          |          |          |          |           |           |           |
| Sales Revenues           | 519,200  | 534,776  | 550,819  | 851,016  | 876,546  | 902,843  | 929,928  | 1,002,101 | 1,032,164 | 1,063,129 |
| Gross Operating Revenues | 519,200  | 534,776  | 550,819  | 851,016  | 876,546  | 902,843  | 929,928  | 1,002,101 | 1,032,164 | 1,063,129 |
| Operating Expenses       | -167,094 | -173,191 | -179,516 | -223,521 | -231,449 | -239,666 | -248,182 | -262,851  | -272,173  | -281,833  |
| Gross Operating Profit   | 352,106  | 361,585  | 371,304  | 627,495  | 645,097  | 663,176  | 681,746  | 739,250   | 759,991   | 781,296   |

| Description                                         | 2018     | 2019     | 2020     | 2021     | 2022     | 2023     | 2024      | 2025      | 2026      | 2027      |
|-----------------------------------------------------|----------|----------|----------|----------|----------|----------|-----------|-----------|-----------|-----------|
| <b>Gross Profit Percentage</b>                      | %68      | %68      | %67      | %74      | %74      | %73      | %73       | %74       | %74       | %73       |
| <b>Salaries and Benefits (Indirect Staff)</b>       | -181,600 | -189,046 | -196,796 | -204,865 | -213,265 | -222,008 | -231,111  | -240,586  | -250,450  | -260,719  |
| <b>General and Administraive Expenses</b>           | -14,024  | -14,445  | -14,878  | -15,325  | -15,784  | -16,258  | -16,746   | -17,248   | -17,766   | -18,298   |
| <b>Markeing Expenses</b>                            | -25,960  | -26,739  | -27,541  | -42,551  | -43,827  | -45,142  | -46,496   | -50,105   | -51,608   | -53,156   |
| <b>Pre Operating Expenses</b>                       | -7,480   |          |          |          |          |          |           |           |           |           |
| <b>Gross Indirect Expenses</b>                      | -229,064 | -230,229 | -239,216 | -262,741 | -272,876 | -283,409 | -294,353  | -307,939  | -319,824  | -332,174  |
| <b>Income before Interest, Depreciation and Tax</b> | 123,041  | 131,355  | 132,088  | 364,754  | 372,220  | 379,768  | 387,393   | 431,311   | 440,167   | 449,122   |
| <b>Fixed Assets Depreciations</b>                   | -61,623  | -62,259  | -62,924  | -63,617  | -64,341  | -65,097  | -65,886   | -66,711   | -67,572   | -68,472   |
| <b>Income before Tax and Interests</b>              | 61,418   | 69,096   | 69,164   | 301,137  | 307,880  | 314,671  | 321,507   | 364,600   | 372,595   | 380,650   |
| <b>Bank Interests</b>                               | -58,029  | -48,425  | -37,910  | -26,399  | -13,797  | -0       | -0        | -0        | -0        | -0        |
| <b>Income Before Tax</b>                            | 3,390    | 20,671   | 31,254   | 274,738  | 294,083  | 314,671  | 321,507   | 364,600   | 372,595   | 380,650   |
| <b>Income Tax</b>                                   | -169     | -1,034   | -1,563   | -13,737  | -14,704  | -15,734  | -16,075   | -18,230   | -18,630   | -19,032   |
| <b>Net Profit</b>                                   | 3,220    | 19,637   | 29,691   | 261,001  | 279,378  | 298,938  | 305,432   | 346,370   | 353,965   | 361,617   |
| <b>Net Profit Percentage</b>                        | %1       | %4       | %5       | %31      | %32      | %33      | %33       | %35       | %34       | %34       |
| <b>Compulsory Reserves</b>                          | -322     | -1,964   | -2,969   | -26,100  | -27,938  | -29,894  | -30,543   | -34,637   | -35,397   | -36,162   |
| <b>Retained Earnings</b>                            | 2,898    | 20,572   | 47,294   | 282,195  | 533,635  | 802,679  | 1,077,568 | 1,389,300 | 1,707,869 | 2,033,324 |

## Expected Cashflows Statement

The table below summarizes project cashflows statement, where net cash flows are positive during all years as below:

**Table 36 Expected Cashflows**

|                                                        | 2018       | 2019     | 2020     | 2021     | 2022     | 2023    | 2024    | 2025    | 2026    | 2027    |
|--------------------------------------------------------|------------|----------|----------|----------|----------|---------|---------|---------|---------|---------|
| <b>Cash flows from operating activities</b>            |            |          |          |          |          |         |         |         |         |         |
| Net profit (loss)                                      | 3,220      | 19,637   | 29,691   | 261,001  | 279,378  | 298,938 | 305,432 | 346,370 | 353,965 | 361,617 |
| <b>Non-monetary adjustments</b>                        |            |          |          |          |          |         |         |         |         |         |
| Bank benefits                                          | 58,029     | 48,425   | 37,910   | 26,399   | 13,797   | 0       | 0       | 0       | 0       | 0       |
| Consumption                                            | 61,623     | 62,259   | 62,924   | 63,617   | 64,341   | 65,097  | 65,886  | 66,711  | 67,572  | 68,472  |
| Operating cash flows before changes in working capital | 122,872    | 130,322  | 130,525  | 351,017  | 357,516  | 364,034 | 371,318 | 413,081 | 421,537 | 430,090 |
| (Decrease) increase in accounts payable                | 27,849     | 1,016    | 1,054    | 7,334    | 1,321    | 1,369   | 1,419   | 2,445   | 1,554   | 1,610   |
| Change in working capital                              | 27,849     | 1,016    | 1,054    | 7,334    | 1,321    | 1,369   | 1,419   | 2,445   | 1,554   | 1,610   |
| Net cash flows (used) from operating activities        | 150,721    | 131,338  | 131,579  | 358,352  | 358,838  | 365,404 | 372,737 | 415,526 | 423,091 | 431,700 |
| <b>Cash flows from investing activities</b>            |            |          |          |          |          |         |         |         |         |         |
| (Purchase) of fixed assets                             | -1,109,867 | -6,363   | -6,642   | -6,934   | -7,239   | -7,560  | -7,895  | -8,246  | -8,614  | -9,000  |
| Net flows (used) from investment activities            | -1,109,867 | -6,363   | -6,642   | -6,934   | -7,239   | -7,560  | -7,895  | -8,246  | -8,614  | -9,000  |
| <b>Cash flows from financing activities</b>            |            |          |          |          |          |         |         |         |         |         |
| Equity capital                                         | 612,117    |          |          |          |          |         |         |         |         |         |
| Loan Amortization                                      | -101,307   | -110,911 | -121,425 | -132,936 | -145,538 | 0       | 0       | 0       | 0       | 0       |

|                                                 | 2018      | 2019     | 2020     | 2021     | 2022     | 2023    | 2024      | 2025      | 2026      | 2027      |
|-------------------------------------------------|-----------|----------|----------|----------|----------|---------|-----------|-----------|-----------|-----------|
| Bank Interest Rate                              | -58,029   | -48,425  | -37,910  | -26,399  | -13,797  | -0      | -0        | -0        | -0        | -0        |
| Loans                                           | 612,117   | 0        | 0        | 0        | 0        | 0       | 0         | 0         | 0         | 0         |
| Net cash flows (used) from financing activities | 1,064,898 | -159,335 | -159,335 | -159,335 | -159,335 | 0       | 0         | 0         | 0         | 0         |
| Net increase (decrease) in cash                 | 105,752   | -34,361  | -34,398  | 192,082  | 192,263  | 357,844 | 364,842   | 407,279   | 414,477   | 422,700   |
| Cashflows at the Beginning of Period            | 0         | 105,752  | 71,392   | 36,993   | 229,076  | 421,339 | 779,183   | 1,144,025 | 1,551,304 | 1,965,781 |
| Cashflows at the End of Period                  | 105,752   | 71,392   | 36,993   | 229,076  | 421,339  | 779,183 | 1,144,025 | 1,551,304 | 1,965,781 | 2,388,481 |

### Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

Table 37 Expected Balance Sheet

| Description               | 2018      | 2019    | 2020    | 2021    | 2022    | 2023    | 2024      | 2025      | 2026      | 2027      |
|---------------------------|-----------|---------|---------|---------|---------|---------|-----------|-----------|-----------|-----------|
| <b>Assets</b>             |           |         |         |         |         |         |           |           |           |           |
| <b>Current assets</b>     |           |         |         |         |         |         |           |           |           |           |
| Fund                      | 105,752   | 71,392  | 36,993  | 229,076 | 421,339 | 779,183 | 1,144,025 | 1,551,304 | 1,965,781 | 2,388,481 |
| Total assets traded       | 105,752   | 71,392  | 36,993  | 229,076 | 421,339 | 779,183 | 1,144,025 | 1,551,304 | 1,965,781 | 2,388,481 |
| <b>Non-current assets</b> |           |         |         |         |         |         |           |           |           |           |
| Fixed assets (net)        | 1,048,244 | 992,347 | 936,066 | 879,382 | 822,281 | 764,744 | 706,753   | 648,288   | 589,330   | 529,858   |

| Description                          | 2018             | 2019             | 2020           | 2021             | 2022             | 2023             | 2024             | 2025             | 2026             | 2027             |
|--------------------------------------|------------------|------------------|----------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| <b>Total non-current assets</b>      | <b>1,048,244</b> | <b>992,347</b>   | <b>936,066</b> | <b>879,382</b>   | <b>822,281</b>   | <b>764,744</b>   | <b>706,753</b>   | <b>648,288</b>   | <b>589,330</b>   | <b>529,858</b>   |
| <b>Total assets</b>                  | <b>1,153,996</b> | <b>1,063,739</b> | <b>973,059</b> | <b>1,108,458</b> | <b>1,243,620</b> | <b>1,543,927</b> | <b>1,850,778</b> | <b>2,199,592</b> | <b>2,555,111</b> | <b>2,918,338</b> |
| <b>Liabilities</b>                   | <b>-</b>         | <b>-</b>         | <b>-</b>       | <b>-</b>         | <b>-</b>         |                  |                  |                  |                  |                  |
| <b>Current liabilities</b>           |                  |                  |                |                  |                  |                  |                  |                  |                  |                  |
| <b>Payables</b>                      | <b>27,849</b>    | <b>28,865</b>    | <b>29,919</b>  | <b>37,253</b>    | <b>38,575</b>    | <b>39,944</b>    | <b>41,364</b>    | <b>43,809</b>    | <b>45,362</b>    | <b>46,972</b>    |
| <b>Remaining amount of Loan</b>      | <b>110,911</b>   | <b>121,425</b>   | <b>132,936</b> | <b>145,538</b>   | <b>0-</b>        | <b>0-</b>        | <b>0-</b>        | <b>0-</b>        | <b>0-</b>        | <b>0</b>         |
| <b>Total current liabilities</b>     | <b>138,760</b>   | <b>150,290</b>   | <b>162,855</b> | <b>182,792</b>   | <b>38,575</b>    | <b>39,944</b>    | <b>41,364</b>    | <b>43,809</b>    | <b>45,362</b>    | <b>46,972</b>    |
| <b>Non-current liabilities</b>       |                  |                  |                |                  |                  |                  |                  |                  |                  |                  |
| <b>long term loans</b>               | <b>399,899</b>   | <b>278,474</b>   | <b>145,538</b> | <b>0</b>         | <b>0</b>         | <b>0</b>         | <b>0</b>         | <b>0</b>         | <b>0</b>         | <b>0</b>         |
| <b>Total long - term liabilities</b> | <b>399,899</b>   | <b>278,474</b>   | <b>145,538</b> | <b>0</b>         | <b>0</b>         | <b>0</b>         | <b>0</b>         | <b>0</b>         | <b>0</b>         | <b>0</b>         |
| <b>Total liabilities</b>             | <b>538,659</b>   | <b>428,765</b>   | <b>308,394</b> | <b>182,792</b>   | <b>38,575</b>    | <b>39,944</b>    | <b>41,364</b>    | <b>43,809</b>    | <b>45,362</b>    | <b>46,972</b>    |
| <b>Property rights</b>               |                  |                  |                |                  |                  |                  |                  |                  |                  |                  |
| <b>Member Contributions</b>          | <b>612,117</b>   | <b>612,117</b>   | <b>612,117</b> | <b>612,117</b>   | <b>612,117</b>   | <b>612,117</b>   | <b>612,117</b>   | <b>612,117</b>   | <b>612,117</b>   | <b>612,117</b>   |
| <b>Compulsory reserve</b>            | <b>322</b>       | <b>2,286</b>     | <b>5,255</b>   | <b>31,355</b>    | <b>59,293</b>    | <b>89,187</b>    | <b>119,730</b>   | <b>154,367</b>   | <b>189,763</b>   | <b>225,925</b>   |
| <b>Profit (loss) round</b>           | <b>2,898</b>     | <b>20,572</b>    | <b>47,294</b>  | <b>282,195</b>   | <b>533,635</b>   | <b>802,679</b>   | <b>1,077,568</b> | <b>1,389,300</b> | <b>1,707,869</b> | <b>2,033,324</b> |
| <b>Total equity</b>                  | <b>615,337</b>   | <b>634,974</b>   | <b>664,665</b> | <b>925,667</b>   | <b>1,205,045</b> | <b>1,503,982</b> | <b>1,809,414</b> | <b>2,155,784</b> | <b>2,509,749</b> | <b>2,871,366</b> |
| <b>Total liabilities and equity</b>  | <b>1,153,996</b> | <b>1,063,739</b> | <b>973,059</b> | <b>1,108,458</b> | <b>1,243,620</b> | <b>1,543,927</b> | <b>1,850,778</b> | <b>2,199,592</b> | <b>2,555,111</b> | <b>2,918,338</b> |

#### Feasibility Indicators

There are more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans, therefore the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

**Table 38 Free Net Cash flows Table**

| Net Cashflows                     | Before Operating  | 2018           | 2019          | 2020          | 2021           | 2022           | 2023           | 2024           | 2025           | 2026           | 2027          | Final Value      |
|-----------------------------------|-------------------|----------------|---------------|---------------|----------------|----------------|----------------|----------------|----------------|----------------|---------------|------------------|
| <b>Net Free Cashflows</b>         | <b>-1,224,234</b> | 158,201        | 124,975       | 124,937       | 351,418        | 351,598        | 357,844        | 364,842        | 407,279        | 414,477        | 422,700       | 4,988,172        |
| <b>Discount Factor</b>            | 1.00              | 0.70           | 0.62          | 0.55          | 0.49           | 0.43           | 0.38           | 0.34           | 0.30           | 0.27           | 0.24          | 0.24             |
| <b>Net Present Value for Cash</b> | <b>-1,224,234</b> | <b>110,187</b> | <b>77,159</b> | <b>68,375</b> | <b>170,478</b> | <b>151,193</b> | <b>136,402</b> | <b>123,274</b> | <b>121,983</b> | <b>110,040</b> | <b>99,477</b> | <b>1,173,902</b> |

Table below (39) illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates a total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible.

**Table 39 payback period**

| Payback Period                | Before Operating  | 2018      | 2019    | 2020    | 2021    | 2022    | 2023            | 2024            | 2025              | 2026            | 2027              |
|-------------------------------|-------------------|-----------|---------|---------|---------|---------|-----------------|-----------------|-------------------|-----------------|-------------------|
| <b>Net Free Cashflows</b>     | <b>-1,224,234</b> | 158,201   | 124,975 | 124,937 | 351,418 | 351,598 | 357,844         | 364,842         | 407,279           | 414,477         | 422,700           |
| <b>Project Value Returned</b> | 1,224,234         | 1,066,033 | 941,058 | 816,120 | 464,703 | 113,104 | <b>-244,740</b> | <b>-609,582</b> | <b>-1,016,861</b> | <b>1,431,33</b> | <b>-1,854,038</b> |
| <b>Payback Period (Year)</b>  | 5                 | 1         | 1       | 1       | 1       | 1       | 0               | 0               | 0                 | 0               | 0                 |

**Table 40 Financial Analysis Results**

|                                         |           |
|-----------------------------------------|-----------|
| Weighted Average Cost of Capital (WACC) | %12.81    |
| Net Present Value for Cashflows         | 1,118,237 |
| Payback Period                          | 5         |
| Internal Rate of Return                 | %26.07    |

#### Sensitivity Analysis

Sensitivity analysis is conducted to investigate the effects of changes in significant inputs of the financial analysis. This includes changes in revenues, total investment costs, and operating costs.

#### Conclusions and Recommendations

Based on the profitability analysis and considering that project internal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 1,118,237 Jordan Dinars considering that the project provides 26 Job Opportunities for the governorate residents.

**Table 41 Sensitivity Analysis**

| Sensitivity Analysis                       | Internal Rate of Return | Payback Period | WACC   |
|--------------------------------------------|-------------------------|----------------|--------|
| <b>Original Scenario</b>                   | %26.07                  | 5              | 12.81% |
| <b>Revenues declined by 10%</b>            | %21.80                  | 6              | 12.81% |
| <b>Operating Expenses Increased by 10%</b> | %24.66                  | 5              | 12.81% |